Substantial Compositional Change in Industrial Output over Fifty Years

The textile industry was India's most dominant industry at Independence. In 1950–51 (at 1999–2000 prices), to make the comparison meaningful, the industry's domestic value of products was Rs 2631 crore out of total manufactured products of Rs 8659 crore, an impressive 30 per cent. In fact, in current prices (prices prevailing in 1950–51), the share was as high as 42.5 per cent (Rs 210 crore out of the total value of manufactured products of Rs 494 crore).

Over the years, the textile industry lost its dominance in India's manufacturing basket. In 1975–76 (in constant 1999–2000 prices), the value of products was only Rs 5799 crore, making up 16.25 per cent of the total value of manufactured products of Rs 35,694 crore. In 1990–91, when India was about to turn the page by dismantling the licence permit raj, the output of the textile industry was valued at Rs 13,019 crore (1999–2000 prices), 12.9 per cent of the total value of manufactured products of Rs 1,01,467 crore.

Metal products and machinery and chemicals and chemical products, the focus of industrialization after Independence, saw their share go up in India's manufacturing. At constant 1999–2000 prices, the value of metal products and machinery, which was Rs 450 crore in 1950–51 (5.2 per cent), went up to Rs 19,314 crore in 1999–2000 (11.2 per cent). Likewise, chemicals and chemical products, which had a total value of products (in constant 1999–2000 prices) of Rs 601 crore (6.9 per cent), went up to Rs 42,690 crore (24.7 per cent).

Indeed, the decline of the traditional textile industry and expansion of new industries by the end of the twentieth century are apparent from the National Accounts numbers.